

Poor macroeconomic conditions expected to drive high needs through the lean season

Key Messages

- Sudan is expected to face increased emergency humanitarian assistance needs through the lean season due to persistent poor macroeconomic conditions driving extremely high food prices and transportation costs, which are negatively impacting household purchasing capacity. Additional drivers include intercommunal conflicts that are displacing households and disrupting markets and livelihood activities in parts of Darfur, Kordofan, and Blue Nile states, and the continued influx of Ethiopian and South Sudanese refugees. Crisis (IPC Phase 3) outcomes are expected among poor households, particularly IDPs, conflict-affected households, and pastoral and agropastoral households in South Kordofan, Darfur, Blue Nile, Kassala, Red Sea, and North Kordofan states, and urban poor households.
- Despite commitments of 60 billion USD loan and financial relief for Sudan following the Paris Conference for Sudan, extremely poor macroeconomic conditions and high food and non-food item prices are expected to continue through the scenario period due to insufficient FOREX reserves and shortages of fuel, wheat, and wheat flour. In May, the parallel market rate increased to 436 SDG/USD compared to 393 SDG in April, while the official exchange rate remains at 407 SDG/USD. The FOREX is anticipated to remain between 350-410 SDG/USD through 2021.
- The retail price of sorghum, millet, and locally produced wheat had mixed trends between April and May 2021, as sorghum and millet prices increased by 5-15 percent across most consumption markets due to the seasonally high demand for local consumption, high transportation costs, and the devaluation of the SDG. Locally produced wheat prices are relatively stable or slightly decreased in some individual production markets following the recently concluded winter season harvest. However, cereal prices remain close to double compared to their respective prices in 2020 and 400-500 percent above the five-year average. Prices are expected to continue to seasonally increase through the lean season.

* FEWS NET's classifications are IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. FEWS NET and the IPC use different methods to estimate the total Population in Need of humanitarian food assistance and assess the risk of Famine. Learn more at www.fews.net/about.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more [here](#).